

ECON 0100 | Vignette B5 | Market Changes

Due in Recitation. Vignettes are a certificate of the work done together in Recitation.

Members of the wizarding world have preferences for pumpkin pasties according to the following demand curve and production costs according to the following supply curve.

$$P = 14 - \frac{1}{2}Q_D \quad \text{and} \quad P = 2 + \frac{1}{2}Q_S$$

Prices are in galleons and quantity is in pasties.

Q1 | Price Elasticity

a) When price changes from 6 to 8 galleons:

What is the price elasticity of demand? _____

Is demand elastic, unit elastic, or inelastic between these prices? _____

b) When price changes from 4 to 6 galleons:

What is the price elasticity of supply? _____

Is supply elastic, unit elastic, or inelastic between these prices? _____

Q2 | Supply & Demand Shifters

For each change below, which curve in the pumpkin pasty market shifts, and in which direction?

a) Recent drier growing seasons have made growing pumpkins more difficult.

demand shifts up · demand shifts down · supply shifts up · supply shifts down

b) A popular channel on the wizarding social network FlueTube has been promoting pumpkin pasties, leading to an increase in the popularity of the snack.

demand shifts up · demand shifts down · supply shifts up · supply shifts down

c) An early freeze damaged the lemon crop, driving the price of lemons up and increasing the cost of lemon cakes.

demand shifts up · demand shifts down · supply shifts up · supply shifts down

d) The price of butter beer, which wizards drink with their pasties, rises.

demand shifts up · demand shifts down · supply shifts up · supply shifts down

e) A boom at Gringotts raises wizards' incomes, and pumpkin pasties are an inferior good.

demand shifts up · demand shifts down · supply shifts up · supply shifts down

Q3 | Comparative Statics

Each part below has two changes at once. Use a graph to show both shifts, then say what happened to the pumpkin pastie market without using numbers.

a) With both the drier growing seasons and the FlueTube promotion, use the graph above to discuss how the market has been impacted.

Prices: *increased · stayed the same · decreased · indeterminate*

Quantity: *increased · stayed the same · decreased · indeterminate*

b) A record pumpkin harvest makes pumpkins cheap for bakers. At the same time, Hogwarts adds a second Hogsmeade weekend each month, bringing more students to the village.

Prices: *increased · stayed the same · decreased · indeterminate*

Quantity: *increased · stayed the same · decreased · indeterminate*